Skeena Resources

Adjusting valuation as C$46m share offer closes

Skeena Resources (SKE) announced yesterday that the upsized overnight marketed public share offering announced last week has now closed, raising gross proceeds of ~C$46.0m at C$2.35/share, including ~C$6m in over-allotment shares. The offering closed on 17 Nov 2020, with a total of ~19.6m new shares issued. The net proceeds from the offering are intended to fund exploration and development activities at the Eskay Creek Project and Snip Gold Project, and for overall corporate and general administrative purposes. Skeena had ~C$45m in cash at 30 June this year; we estimate this would have been run down to ~C$5m by year end 2020, but now expect this to be topped up to ~C$48m, net of raising fees. However, with a ~10% increase in the share count our DCF-based SOTP is diluted by ~5% to C$5.32/share, still >2x the current share price.

Eskay Creek MRE update & PFS to show significant improvement over PEA

The additional cash raised will allow drilling and evaluation work as part of the ongoing pre-feasibility study (PFS) to continue well into 2021. In addition to a stronger gold price since the Nov'19 Preliminary Economic Assessment (PEA), we expect the current infill drilling programme to boost Eskay Creek's NPV ahead of the PFS slated for completion in H1'21. Bringing all 14.4Mt of open-pit Inferred Resources into the mine plan - as compared with the roughly one-third of Inferred tonnes which were included in the PEA – would add ~10.7Mt of ore, containing ~1.0Moz AuEq, to the ~21.3Mt (~2.9Moz AuEq) included in the current LoM. If continuity of mineralisation can be shown in these Inferred zones – as suggested by the results to date - average grade should also be improved over the current ~2.9g/t included in Inferred Resources, as narrower spaced drilling should allow less conservative grade estimation methodologies to be applied. Skeena has previously communicated a target for the next Mineral Resource Estimate of 5Moz in Measured & Indicated at 5g/t AuEq.

C$5.32/share target implies ~109% upside

Our NPV for Eskay Creek stands at C$1.7bn (5% WACC), with gold and silver price assumptions of US$1,950/oz and US$25/oz, respectively. We apply a target P/NPV multiple of 0.7x to Eskay, then add ~C$12.9m for Snip and adjust for G&A costs, net cash and the dilutive impact of outstanding options and warrants to derive a SOTP-based target of C$5.32/share, 109% above yesterday's close at C$2.54/sh. However, we estimate that full conversion of Inferred material and an uplift in the total Resource to 5Moz at 5g/t could add a further ~C$1.45/sh to give an "upside scenario" of >C$6.7/sh, +165% from the current price (although this is arguably a conservative estimate as it assumes these incremental ounces would come at the end of the current mine plan).

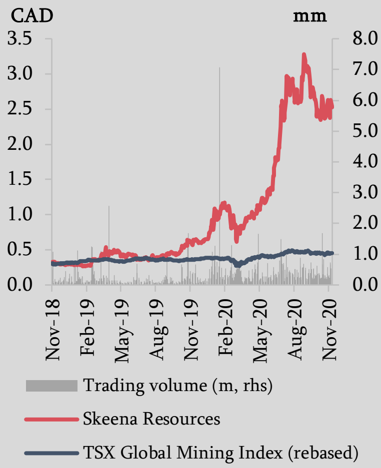
GICS Sector	Materials
Ticker	TSX.V : SKE
Market cap (C$m, 18 Nov 20)	491.3
Share price (C$, 18 Nov 20)	2.54
Target price (C$, 31 Dec 20)	5.32

109%

Upside from current share price to C$5.32/sh target price

90%

H&Pe Eskay Creek IRR, based on current gold & silver prices



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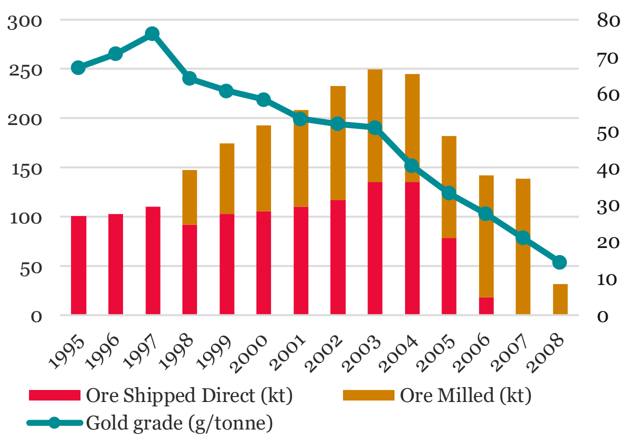
Roger Bell
Director, Mining Research
T +44-207-907-8534
E rb@hannam.partners

Jay Ashfield
Director, Mining Sales
T +44-207-907-2022
E ja@hannam.partners

H&P Advisory Ltd
2 Park Street, Mayfair
London W1K 2HX

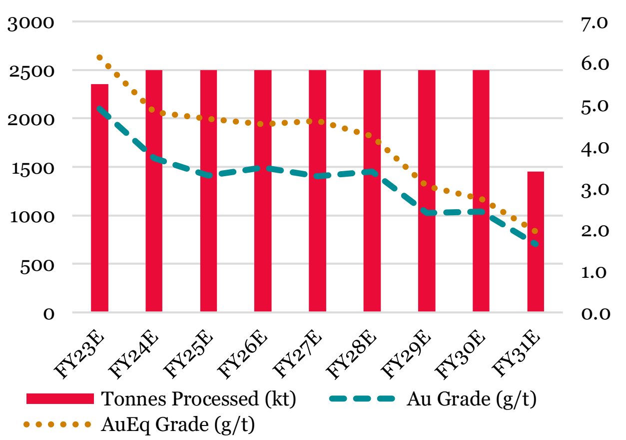
Eskay Creek – Key Charts

Eskay Creek historical u/g mine enjoyed phenomenal grades: throughput (kt, left axis) vs grade (g/t, right)



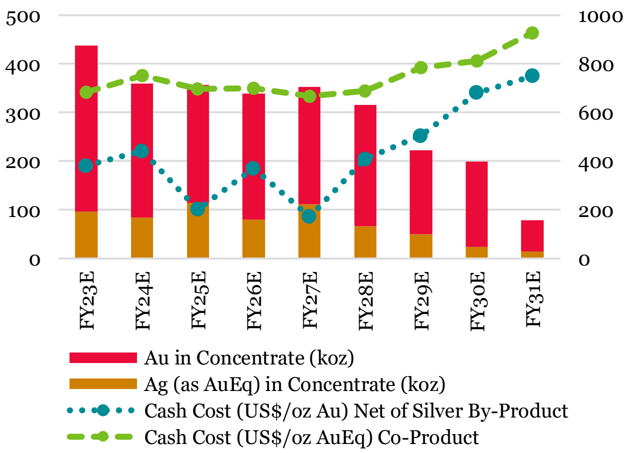
Source: Barrick Gold, Homestake Mining, Company reports.

Skeena's plan is significantly larger at 2.5Mtpa throughput & grades are amongst highest for an open-pit in N America



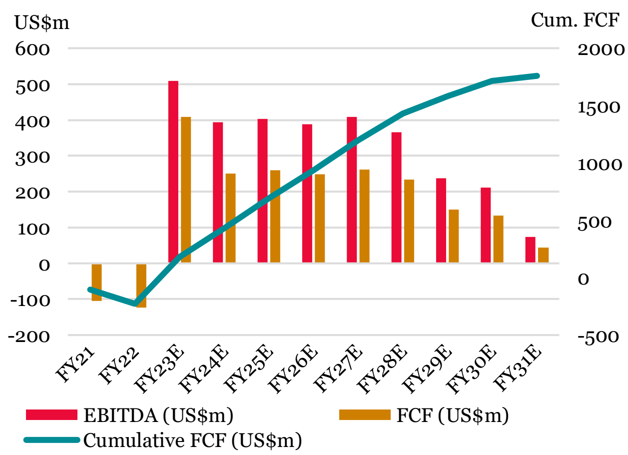
Source: Company reports, H&P estimates

Eskay Creek concentrate contained gold & silver (koz, right) and cash costs (US$/oz, left)



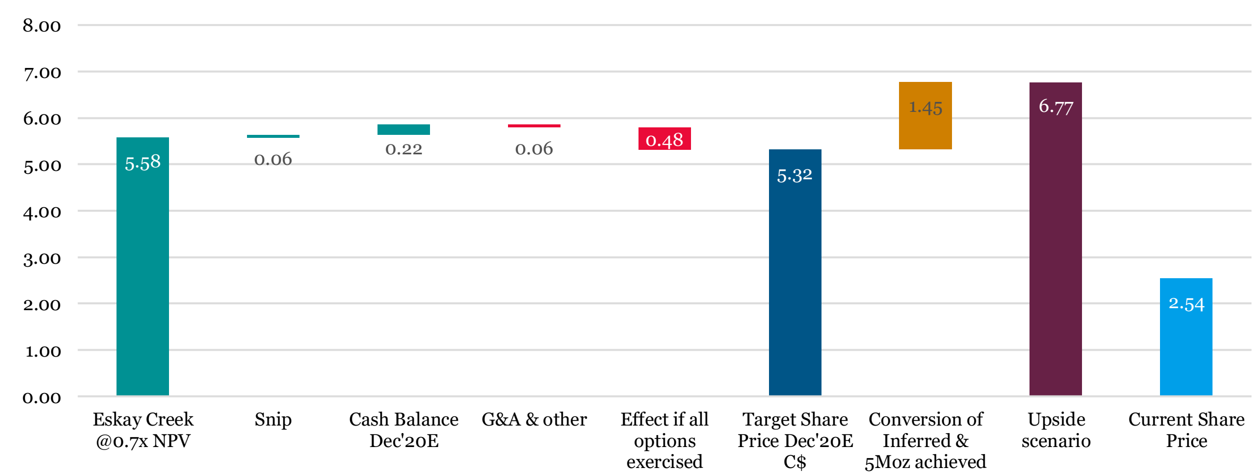
Source: Company reports, H&P estimates

H&Pe Eskay Creek EBITDA & FCF (left axis) & cumulative FCF (right) – strong initial grades drive short payback



Source: Company reports, H&P estimates

Eskay Creek's risked NPV provides huge potential per-share upside for Skeena with Dec'20 TP:C$5.32



Source: Company reports, H&P estimates

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Skeena - summary of current Resource base			Grade (g/t)			Contained metal (koz)		
Project	Category	Ore tonnes	Au	Ag	AuEq	Au	Ag	AuEq
Eskay Creek - OP	Indicated	12,650	4.28	109.81	5.75	1,740	44,660	2,340
	Inferred	14,420	2.26	46.85	2.89	1,050	21,720	1,340
Eskay Creek - UG	Indicated	819	6.42	138.88	8.28	169	3,657	218
	Inferred	295	7.17	82.03	8.22	68	778	78
Snip	Indicated	539	14.00	0.00	14.00	244	0	244
	Inferred	942	13.30	0.00	13.30	402	0	402
Total/average	**Indicated**	**14,008**	**4.78**	**107.28**	**6.22**	**2,153**	**48,317**	**2,802**
	Inferred	**15,657**	**3.02**	**44.69**	**3.62**	**1,520**	**22,498**	**1,820**

Source: Skeena Resources

Financial Statements Summary

Income statement							
Year end December		2019	2020E	2021E	2022E	2023E	2024E
Revenue	**C$m**	**-**	**-**	**-**	**-**	**815.3**	**674.3**
Cost of Sales	C$m	-	-	-	-	(124.8)	(135.6)
Depreciation	C$m	(0.4)	-	-	-	(37.4)	(39.7)
Gross profit/(loss)	**C$m**	**-**	**-**	**-**	**-**	**690.5**	**538.7**
Total operating costs	C$m	(17.5)	(49.2)	(2.5)	(2.5)	(52.3)	(55.5)
Operating profit/(loss)	**C$m**	**(17.5)**	**(49.2)**	**(2.5)**	**(2.5)**	**638.2**	**483.2**
Interest income	C$m	0.1	0.4	0.4	0.2	3.6	9.3
Finance Costs	C$m	(0.1)	-	-	-	-	-
FX gains/losses	C$m	(0.0)	-	-	-	-	-
Other gains/(losses)	C$m	(9.5)	-	-	-	-	-
Profit/(Loss) before tax	**C$m**	**(27.1)**	**(48.8)**	**(2.1)**	**(2.3)**	**641.8**	**492.5**
Income tax (expense) / benefit	C$m	-	-	-	-	(224.1)	(172.0)
Net profit/(loss)	**C$m**	**(27.1)**	**(48.8)**	**(2.1)**	**(2.3)**	**417.7**	**320.5**
EBITDA	**C$m**	**(17.5)**	**-**	**-**	**-**	**676.3**	**523.5**

Cash flow statement							
Year end December		2019	2020E	2021E	2022E	2023E	2024E
Profit/(loss) before tax	C$m	(27.1)	(48.8)	(2.1)	(2.3)	641.8	492.5
Depreciation & amortisation	C$m	0.4	-	-	-	37.4	39.7
Working capital change (increase)/decrease	C$m	4.2	0.2	(0.0)	(0.1)	(68.8)	11.7
Tax (paid)/received	C$m	-	-	-	-	(129.8)	(182.5)
Other non-cash expenditures	C$m	12.0	0.0	0.0	0.0	-	-
CFO	**C$m**	**(10.5)**	**(48.5)**	**(2.1)**	**(2.4)**	**480.6**	**361.4**
Additions to PPE	C$m	0.5	7.5	(149.6)	(163.5)	(5.0)	(10.3)
Other	C$m	(0.1)	(5.3)	(0.3)	(0.3)	(0.2)	(0.1)
CFI	**C$m**	**0.4**	**2.2**	**(149.9)**	**(163.8)**	**(5.2)**	**(10.4)**
Minimum debt repayments	C$m	-	-	-	-	-	-
Other movement in net debt	C$m	-	-	-	-	-	-
New equity issued	C$m	22.1	80.9	-	-	-	-
Other	C$m	-	-	115.0	170.0	-	-
CFF	**C$m**	**22.1**	**80.9**	**115.0**	**170.0**	**-**	**-**
Net change in cash	**C$m**	**12.0**	**34.6**	**(37.0)**	**3.8**	**475.3**	**351.1**
FX impact on cash & equivalents	C$m	-	-	-	-	-	-
Beginning cash & equivalents	C$m	1.1	13.1	47.7	10.7	14.5	489.8
Ending cash & equivalents	**C$m**	**13.1**	**47.7**	**10.7**	**14.5**	**489.8**	**840.8**

Balance sheet							
Year end December		2019	2020E	2021E	2022E	2023E	2024E
Cash	C$m	13.1	47.7	10.7	14.5	489.8	840.8
Receivables	C$m	2.2	2.2	2.2	2.2	67.0	55.3
Inventory	C$m	-	-	-	-	10.3	11.1
Other	C$m	3.7	3.4	3.5	3.5	3.5	3.5
Current Assets	**C$m**	**19.0**	**53.4**	**16.4**	**20.2**	**570.5**	**910.7**
PPE	C$m	1.9	(5.6)	144.0	307.6	275.2	245.8
Other	C$m	3.5	8.5	8.5	8.5	8.5	19.0
Non Current Assets	**C$m**	**5.4**	**2.9**	**152.5**	**316.1**	**283.7**	**264.8**
Payables	C$m	4.1	4.1	4.1	4.1	10.3	11.1
Short Term Debt	C$m	-	-	-	-	-	-
Other	C$m	4.3	4.3	4.3	4.3	4.2	4.1
Current Liabilities	**C$m**	**8.4**	**8.4**	**8.4**	**8.4**	**14.5**	**15.2**
Long term debt	C$m	-	-	-	-	-	-
Other	C$m	4.4	4.1	3.8	3.5	97.7	97.8
Non Current Liabilities	**C$m**	**4.4**	**4.1**	**3.8**	**3.5**	**97.7**	**97.8**
Total Equity	**C$m**	**11.6**	**43.8**	**41.7**	**39.4**	**457.0**	**777.6**
Other	**C$m**	**-**	**-**	**115.0**	**285.0**	**285.0**	**285.0**

Source: H&P estimates, Company reports.

Operations and Valuations Summary

Ratios & other key items							
Year end December		2019	2020E	2021E	2022E	2023E	2024E
Yr end shares issued	m	107.9	180.0	213.2	213.2	213.2	213.2
Revenue Growth	%	NA	NA	NA	NA	NA	-17%
EBITDA margin	%	NA	NA	NA	NA	83%	78%
EBIT margin	%	NA	NA	NA	NA	78%	72%
Net cash/(debt)	C$m	13.1	47.7	(104.3)	(270.5)	204.8	555.8
Net debt/equity	**%**	**-113%**	**-109%**	**250%**	**687%**	**-45%**	**-71%**
FCF	**C$m**	**(13.2)**	**2.9**	**(149.5)**	**(163.7)**	**391.9**	**363.1**
FCF/share	C$m/sh	**(0.1)**	**0.0**	**(0.7)**	**(0.8)**	**1.8**	**1.7**
Capital employed	C$m	16.05	47.91	45.53	42.89	554.72	875.33
EPS	C$m	(25.09)	(27.09)	(0.97)	(1.10)	195.91	150.34
ROCE	**%**	**-109%**	**-103%**	**-5%**	**-6%**	**115%**	**55%**
ROE	%	**-233%**	**-111%**	**-5%**	**-6%**	**91%**	**41%**
EV/EBITDA	**x**	**NA**	**NA**	**NA**	**NA**	**0.5**	**NA**
EV/Sales	**x**	**NA**	**NA**	**NA**	**NA**	**0.4**	**NA**

Production volumes							
Year end December		2019	2020E	2021E	2022E	2023E	2024E
Gold contained in concentrate	koz	-	-	-	-	341	275
Silver contained in concentrate	koz	-	-	-	-	7,507	6,610
Gold equivalent contained in concentrate	koz	-	-	-	-	437	359
Payable gold in concentrate	koz	-	-	-	-	324	261
Payable silver in concentrate	koz	-	-	-	-	6,006	5,288
Payable gold equivalent in concentrate	koz	-	-	-	-	401	329

Gold and Silver Price Assumptions							
Year end December		2019	2020E	2021E	2022E	2023E	2024E
Gold Price	US$/oz	1,287	1,789	1,950	1,950	1,950	1,950
Silver Price	US$/tonne	16	16	25	25	25	25

Cash Costs							
Year end December		2019	2020E	2021E	2022E	2023E	2024E
Cash costs/t Au product	US$/oz	-	-	-	-	381	441
Total Cash Cost	US$m	-	-	-	-	274	247
Cost of sales (P&L)	C$m	-	-	-	-	(125)	(136)

Reserves & Resources (gold equivalent)				
		Eskay Creek	Snip	Total
Reserves: (P,P)	koz	-	-	-
Resources (M&I)	koz	2,558	244	2,802
Resources: (Inferred)	koz	1,418	402	1,820

Market cap, net debt & enterprise value							
Year end December		2019	2020E	2021E	2022E	2023E	2024E
Market Cap (Yr end)	**C$m**	**544.1**	**544.1**	**544.1**	**544.1**	**544.1**	**544.1**
Net Cash/(Debt)	C$m	13.1	47.7	(104.3)	(270.5)	204.8	555.8
EV	C$m	531.0	496.4	648.4	814.6	339.3	(11.8)

Valuation/ Price Target Derivation - Dec'20E				
Year end December		Value	Target Multiple	Target Value
Eskay Creek	C$m	1,706.1	0.7	1,194.2
Snip	C$m	12.7	1.0	12.7
Cash Balance at Dec' 20E	C$m	47.7		47.7
Environmental bond	C$m	(7.7)		(7.7)
G&A	C$m	(5.8)		(5.8)
Total Value	**C$m**	**1,753.0**		**1,241.2**
Shares out - undiluted	m	214.2		214.2
NPV / Target Price per share - undiluted	**C$ cents**	**818**		**579**
Cash inflow from options & warrants if exercised	C$m	43.3		43.3
Shares issued if options & warrants exercised	m	27.3		27.3
NPV / Target Price per share - diluted	**C$ cents**	**744**		**532**
Current share price	C$ cents	254.0		254.0
Upside/downside from current share price	%	222%		109%

Source: H&P estimates, Company reports, CapIQ.

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